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BCMCMCS 203

**Second Semester B.Com. Degree Examination, June/July 2025
(SEP) (2024 – 25 Batch Onwards)
FINANCIAL ACCOUNTING – II**

Time : 3 Hours

Max. Marks : 80

SECTION – A

Answer **any four** of the following :

(4×4=16)

1. What do you mean by Accounting Standards ? What are its objectives ?
2. State the limitations of single entry system.
3. Write a note on shortworkings and recoupment of shortworkings.
4. State the basis to allocate the following expenses in departmental accounts.
 - a) Bad debts
 - b) Factory rent
 - c) Carriage outward
 - d) Sales tax
 - e) Recreation expenses
 - f) Repairs to machinery
 - g) Expenses on power
 - h) Import duty.
5. Mr. Devaraj purchased a motor car on hire purchase system. The total cash price of the motor car is Rs. 63,000 payable Rs. 15,000 down payment and 3 instalments of Rs. 23,000, Rs. 19,000 and Rs. 10,000 payable at the end of 1st, 2nd and 3rd year respectively. Interest is charged at 5% p.a. Calculate the interest for each year.

P.T.O.



6. A company acquired a lease on 1st January 2021 at a minimum rent of Rs. 80,000 p.a. merging into a royalty of Rs. 20 per ton with a power to recoup shortworkings over the first 3 years of the lease. The output for the 4 years are

Year	2021	2022	2023	2024
Output in tons	3,000	4,000	4,500	6,000

Calculate Royalty and Shortworkings.



SECTION – B

Answer **any four** of the following :

(4×8=32)

7. What are the advantages of computerized accounting ?
8. Distinguish between single entry system and double entry system.
9. From the following details find out total sales.

	Rs.
Opening bills receivable	8,000
Opening debtors	40,000
Bills receivable encashed during the year	20,800
Cash received from debtors	68,000
Bad debts written off	3,000
Return inwards	8,500
Bills receivable dishonoured	2,000
Closing bills receivable	6,000
Closing debtors	26,000
Cash sales during the year	40,000

10. From the following information prepare Minimum Rent Account and Short Working Account.

Year	Royalty (Rs.)
2022	80,000
2023	95,000
2024	1,00,000

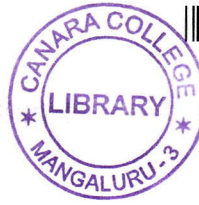
Minimum Rent is Rs. 1,00,000 with a right to recoup the shortworkings in the subsequent year following the shortworkings.

11. Ashmith Ltd. has 2 departments. Department M and Department N. From the following particulars calculate unrealized profit included in closing stock and opening stock and prepare Departmental Profit and Loss Account for the year ending 31st December 2024.

	Dept. M (Rs.)	Dept. N (Rs.)
Stock on 01-01-2024	3,20,000	60,000
Purchases	22,00,000	17,000
Sales	24,00,000	5,00,000
Transfer to Dept. N	4,00,000	—
Manufacturing expenses	—	70,000
Selling expenses	22,000	8,000
Stock on 31-12-2024	2,20,000	80,000

The stocks in Department N consisting 80% from Department M. Department M earned a gross profit at the rate of 25% in 2023. Department N gets goods from Department M at usual selling price.

12. Anil Transport Company purchased a Motor Car from Mumbai Motor Company on hire purchase agreement on 1-4-2021. Anil Transport Company paid Rs. 10,000 cash as down payment and agreed to pay further 3 instalment of Rs. 10,000 on 31st March every year. The cash price of the car was Rs. 37,250. Mumbai Motor Company charged interest of 5% p.a. The Anil Transport Company writes off depreciation at 10% p.a. under written down value method. Prepare Motor Car Account and Depreciation Account.



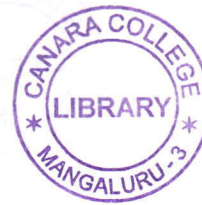
SECTION – C

Answer **any two** of the following :**(2×16=32)**

13. Mr. Harish maintains his books of accounts under single entry system. From the following information prepare Trading and Profit and Loss Account for the year ended 31st December 2024 and Balance Sheet as on that date.

Receipts for the year ended 31-12-2024

	Rs.
From sundry debtors	88,625
Cash sales	21,125
Paid by Harish the proprietor	13,000
Payment made during the year ending 31-12-2024	
New plant purchased	3,625
Drawings	8,000
Wages	34,125
Interest paid	875
Salaries	6,125
Rent	6,500
Telephone	1,125
Light and power	2,875
Sundry expenses	11,125
Sundry creditors	38,625



The following additional information is available

Assets and Liabilities	31-12-2023	31-12-2024
	(Rs.)	(Rs.)
Sundry Creditors	13,125	12,500
Sundry Debtors	19,250	31,125
Cash	3,625	?
Stock	31,750	16,125
Plant	38,000	37,075

14. On 1-4-2021 Nishanth Ltd. Purchased 3 cars of Rs. 1,25,000 each from Honda Ltd. They paid Rs. 25,000 each per car on signing the agreement and the balance was agreed to be paid in 4 equal yearly instalments with interest at 20% p.a. They paid the instalment due on 31st March 2022 but could not pay the next and as a result Honda Ltd. repossessed 2 cars by adjusting its value against the amount due. Nishanth Ltd. depreciated cars at 20% on diminishing balance method, whereas the repossessed cars were depreciated at 25% on fixed instalment system by Honda Ltd. sold the repossessed cars for Rs. 1,50,000 after spending Rs. 14,000 for repairs.

Prepare the following ledger accounts in the books of Nishanth Ltd.

- a) Asset Account
- b) Honda Ltd. Account
- c) Interest Account
- d) Depreciation Account



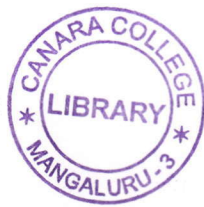
15. Anil and Company acquired a lease of a mine at minimum rent of Rs. 11,000 p.a. The royalty was fixed at 0.50 paise per ton. Shortworkings could be recovered within 3 years following the year in which the deficit occurs. If there is stoppage of production due to strike to any year, the minimum rent would be proportionately reduced in regard to the length of the stoppage.

Year	Output (Tons)
2020	8,000
2021	12,000
2022	24,000
2023	29,000
2024	17,000

During 2024 there was strike lasting for 3 months. Prepare Royalty Account, Minimum Rent Account, Shortworking Account and Landlord Account in the books of Anil and Company.

16. From the following Trial Balance of Super Ltd., prepare Departmental Trading Account, General Profit and Loss Account and Combined Balance Sheet as on 31-12-2024.

	Debit	Credit
	Rs.	Rs.
Share capital		90,000
Buildings	50,000	
Machinery	30,000	
Stock on 1-1-2024		
A Dept.	3,000	
B Dept.	4,000	



Purchases and sales

A Dept.	1,00,000	2,00,000
B Dept.	1,50,000	3,20,000
General expenses	1,40,000	
Debtors and creditors	20,000	15,000
Cash in hand	1,28,000	—
	6,25,000	6,25,000

Other Information :

1. Closing stock of Dept. A is Rs. 13,000 including goods from Dept. B Rs. 4,000. Closing stock in Dept. B is Rs. 26,000 including goods from Dept. A Rs. 9,000. Both departments supplied goods at its usual selling price.
 2. Sales of Dept. A includes Rs. 20,000 transferred to Dept. B and sales of Dept. B includes Rs. 30,000 transferred to Dept. A at market price.
 3. Depreciate buildings by 5% and Machinery by 10%.
 4. Create 5% reserve for doubtful debts and 7½% reserve for discount on creditors.
 5. Managers salary due was Rs. 800.
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